# Authoritarian Resilience and Taxation: Capitalists and State Capacity in China

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## Introduction

Are capitalists within an authoritarian regime likely to drive democracy, or to preserve the regime whose policies permitted them to make their fortune? Scholars of comparative social studies have studied this question comprehensively. Structural theories, both modernization theory (e.g. Lipset 1959; Pzreworski 1997) and class theory (Moore 1966; Huntington 1991; O'Donnell & Schmitter 1986), argue that capitalist classes drive democratization. Proponents of neo-institutionalism argue that capitalists prefer secure property rights, which provide certainty and predictable return (Bates 2001; North 2005). Since constitutional government (which co-exists with democracy)[1] can provide a credible commitment to secure property rights, capitalists prefer democracy over dictatorships (North and Thomas 1973; North 1990).

However, increasing evidence demonstrates that capitalists may not reliably prefer democracy.[2] For example, Charles Boix (2003) argues that the capitalists (I use capitalists and private entrepreneurs exchangeable in this paper) fear democracy because of its redistributional policies. Therefore they only prefer democracy if they have highly mobile assets, or in societies that are already relatively equal, because the government cannot tax their capital too much in such states (also see Rueschemeyer et al., 1992; Acemoglu et al. 2006; Haggard and Kaufman,

[1] For the existence of the development cluster in which rule of law, democracy, and economic wellbeing coincide, see Besley and Persson (2009).
[2] This argument implies that conflict between elites, rather than a structural class struggle, leads to democratization.



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2012).[3] Bellin (2000) argues that capitalists are contingent democrats for the following reasons: state dependence[4] and fear (of social unrest and redistribution). She asserts that this is especially true in late development countries where the state plays an important role in economy. Based on these two variables, Bellin builds a two by two matrix to predict the capitalists' preference for diffidence to democracy.

Insert Figure 1 here

The recent "institutional turn" of comparative authoritarianism studies emphasizes institutions' role in shaping capitalists' regime preference, especially for authoritarian support. A number of articles have suggested that democratic looking institutions sustain authoritarian rule by co-opting the economic elites, especially the capitalists, eliciting their investment in economic growth in a way that strengthens authoritarian regimes. Most studies have focused on parties and legislatures;[5] hence this paper's focus on the taxation institution marks a difference. As the next section will discuss, many scholars argue that state institutions play a stronger role in shaping the role of capitalists as organizational power mechanisms[6] or infrastructural state power mechanisms (Slater and Fenner 2011; Lee and Zhang 2013).

Since 1978, a transition from state socialism to what Tsai and Naughton (2015) call state capitalism has generated rapid economic growth and the emergence of a large group of private

[3] Many scholars have fiercely debated whether capitalists fear of redistribution in the last decade; while some scholars argue that a high level of inequality prevents democratic transition (Acemoglu et al. 2006), others reject this causal relationship (Harggard and Kaufman 2012). Slater et al. (2014) argue that when the taxation capacity is limited, capitalists are neutral to political regimes; when infrastructural power improves, capitalists support the authoritarian regime because they fear democracy's redistribution policies.

[4] Bellin defines state dependence as "the degree to which private sector profitability is subject to the discretionary support of the state", typically "delivered in the form of subsidized inputs, protected market position, close collaboration in the definition of economic policy, and state containment of labor and the capital poor" 180.

[5] However, Art (2012) and Pepinsky (2014), among many others, call for greater attention to state institutions over democratic-looking institutions.

[6] Organizational power refers to "incumbents' capacity to resist opposition challenges", which in turn includes "ability to control civil society, co-opt or divide oppositions, repress protest, and/or steal elections" (Levitsky and Way 2010: 54). All these capacities are based on the "scope and cohesion of state and governing-party structures" (p23).



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entrepreneurs or capitalists in China. The market transition is associated with tax state transition, a neglected topic in studying market transition. Schumpeter (1991 [1918]) defines tax state transition as the transition from a feudal domain state to a tax state that relies on tax revenue for most of its fiscal income. Lieberman (2003, pp54-60) expands on these categories, identifying five ideal types: skeletal, rentier, communist, tax state (includes two subtypes: adversarial and cooperative tax state).[7] Under the planned economy and fiscal remittance system (*tongshou tongzhi*), taxation played a minor role as the government directly controlled the means of production and did not require the cooperation of non-state actors to secure revenue sources before 1978. Since 1978, the fiscal remittance system has reformed incrementally through decentralization and de-concentration to reward productivity,[8] as a result, the Chinese state relies heavily on tax revenue for its expenditures. The process of tax state transition is associated with two institutional changes: fiscal decentralization and tax administration,[9] which I will examine in very details in the paper and discuss their impacts on authoritarian rule.

The dual transitions, i.e. market transition and tax state transition, can change the distribution of power in a country, giving capitalists, among others, more resources and independence, and weakening the state's social control in many ways (Walder 1996). As North et al. argues, "the rise of a new source of wealth from commerce and trade caused a series of political problems, including new sources of economic and political power. (North et al. 2010:

[7] An adversarial tax state taxes the rich people lightly and tax is progressive while cooperative tax state has progressive tax system.

[8] Both of them are called as "fenquan" in Chinese but they mean different things. Deconcentration refers to horizontal separation of power from the Party-state to enterprises and social groups, while decentralization refers to vertical separation of power between different levels of government.

[9] The tax state is defined as "the aggregate of a set of relationships between the state executive and state bureaucracy on the one hand, and citizens or taxpayers on the other, manifest in a set of national tax policies and administrative practices" (Lieberman 2003: 43). Richard Bird regards tax administration as even more important than tax policy making, but little good information was available on tax administration and even less scholarly attention was paid to the mundane but important reality of how tax systems actually worked in developing countries (Bird 2003, 2015: 23).



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106)" They further argue that this may lead to collapse of the natural state (as authoritarian rule). The questions raised at the very beginning of the paper could be reframed as: do the dual transitions empower the capitalists with political power? What is its implication for CCP's single party rule?

There are many studies that try to answer these questions. Based on Bellin's framework, Tsai (2007) points out capitalists have divergent identities, occupational backgrounds, and strategies of survival, which may bar collective action.[10] But because the market transition in China is a partial one, patron-clientelism has become the dominant state–capitalist relationships typology. China study scholars have, variously, termed the patron-clientelist system "commercialized communism" (Wank 1999), "crony communism" and "integrated wealth and power" (Dickson 2008; also see An Chen 2002; Chen and Dickson 2008). In a study of grassroots governments' daily work on stability maintenance, Lee and Zhang (2013) argue that market transition weakens the state's infrastructural power and its microfoundations, especially weakens and marginalizes patron-clientelism, creating a "bargained authoritarianism". Different from most studies which argue capitalists' dependence on the state, Lynnette Ong (2012) describes a "clientelist local state" where capitalists use their increased economic resources to influence the local government to achieve an advantage in the marketplace. Besides the patron-clientelism perspective, some others suggest a co-optation perspective, which suggest that the party-state, especially its legislative or consultative branches, have co-opted China's capitalists (eg. Dickson 2008; Yan 2010).

Build on but departure from the above literature, from the perspective of taxation, I argue that while the dual transitions have empowered capitalists with independent economic resources

[10] Tsai classifies coping strategies in four types based on the capital's willingness and capacity to challenge the state.



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and they are becoming major tax payers at local government level, as an effective tool for legal repression, China's under-institutionalized taxation system substantially limits their political power to challenge the authoritarian regime. More specifically, China's fiscal federalism under pressure-based system and its under-institutionalized taxation administration, make three infrastructural state power mechanisms, i.e. hidden bargaining, patron-clientelism, and legislature co-optation, have continued importance and sustain authoritarian rule.

This paper makes two theoretical contributions. First, it contributes to fiscal sociology by analyzing the taxation institution as the causal factor rather than consequence, though elaborating three taxation's infrastructural power mechanisms and their impact on regime change or transition.[11] It revises our understanding of simply measuring state capacity by using tax's (or even direct tax's) share of GDP (Besley and Persson 2014), or assume a cohesive bureaucracy as a precondition of state capacity. Second, it reexamines how taxation institutions shape capitalists' contingent role in regime change, therefore enriches our understanding of institutional explanations of authoritarian durability with a focus on taxation institution. Empirically, this paper also provides primary research documenting the practices of China's taxation system, an under-explored area.

The next section reviews the literature of fiscal sociology, and proposes that capitalists have a contingent role in promoting democratization. A description of data sources and research design follows. The third section discusses the tax state transition in China. The fourth section examines fiscal federalism and its impact on a key taxation mechanism, hidden bargaining. The fifth section analyzes and discusses the impact of an under-institutionalized taxation system on

[11] For examples, see Levitsky and Way (2010), Slater and Wong (2013).



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two other mechanisms, legislature cooptation and partron-clientelism. The sixth section summarizes the main arguments and discusses the theoretical implications.

## Fiscal Sociology of Authoritarian Durability

In this paper, I use authoritarian resilience and durability exchangeable. "Resilient regimes, however, not only survive but also thrive and adapt while fostering the growth of national military and economic power. They remain the unchallenged authority during periods of significant social and economic change. (Gallagher and Hanson 2013)" Building on Grzymala-Busse's (2011) discussion of the concept of "duration", Slater and Fenner go a step further and define regime durability as "the ultimate form of stability (and hence durability) does not entail *meeting* and *overcoming* crises, but *avoiding* and, when they cannot be totally avoided, *resolving* crises decisively in the regime's favor. (2011: 17)"[12]

More than theories of democratization that focus on structural factors, social classes, or conflict among elites, theories of authoritarian durability emphasize the role of institutions and their functions in causal relationships and mechanisms (Art 2012; Pepinsky 2014). In the "institutional turn" of authoritarianism studies, scholars have looked at coercive and security institutions that deter dissidents (the sticks; see for examples, Bellin 2004; Riley 2010; Way 2008), and institutions that resemble democratic institutions like the party, elections, and legislatures[13] for their role in dividing and co-opting social economic elites (by offering

[12] "Survival is simply a matter of maintaining power over an extended period of time.
[13] For arguments based on the legislature, see Gandhi 2008, Gandhi and Pzreworski 2006, Magaloni 2008. For arguments based on the party, see Greene 2010; Magaloni 2006; Levitsky & Way 2012; Magaloni and Kricheli 2008 for a review. For arguments based on electoral institutions, see Gandhi and Lust-Okar 2009 for a comprehensive review.



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carrots).[14] While contributing significantly to our understanding of authoritarianism, Art (2012) points "an overly simplistic view of how institutions and organizations matter" in this body of literature, resulting in under-specification of a variety of causal mechanisms (363). In a more recent study, Knutsen and Nygård (2015) provide alternative explanations and argue that democratic-looking institutions have negative effects on authoritarian durability and call for a focus on state institutions to explain authoritarian durability. This paper is part of a response to this call to bring the state back into the analysis of studying authoritarian durability, reexamining and elaborating on the causal mechanism(s) that link institution and authoritarian durability.

There are many good reasons to take the role of the taxation institution seriously. First, taxation has a theoretical and causal – and not just a symptomatic or methodological – importance for social changes. Nearly a century ago, Schumpeter (1991[1918]) proposed that taxation primarily drives (broadly defined) social change.[15] He also argued that the transition from a feudal domain state to a tax state may lead to the emergence of a democratic state, an argument Tilly (1990) and Mann (1993) endorse in their comparative historical studies of western European countries. Taxation also plays a crucial role in shaping the state–society relations in today's developing countries and transitional countries (Brautigam et al. eds. 2008; Migdal 2009).[16] Second, unlike other institutions, most social actors, including peasants,[17]

[14] Another important function of these democratic institutions is power sharing among political elites. I do not discuss this function in this paper, which focuses on the co-optation function.
[15] Schumpeter called for treating tax policy as both a symptom and a cause of large-scale changes in the economy and society. But, as one follower noted, "with rare exception" scholars have only addressed its role as a symptom (Martin et al., 2009: 2).
[16] Unfortunately, modern scholars have largely neglected these causal aspects of taxation (Martin et al. 2009).
[17] See Bernstein and LŰ (2003). Takeuchi (2014) argues that it was because the local government turned to land transfer revenue, the agriculture taxes and fees became a minor issue. But as Zhang and Heurlin (2014) demonstrate, land taking became the most important source for dispute and protest in rural China and threaten the social stability. Agriculture taxes were abolished in the year of 2006 national widely.



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workers, public employees,[18] professionals, and private entrepreneurs, relate to the state through the taxation institution. This paper mainly focuses on the private entrepreneurs, who are China's major private tax payers,[19] although I will compare capitalists' and peasants' relationship to taxation as well. Thirdly, the taxation institution is the ideal state institution to study infrastructural state power or state capacity (Migdal 1988). [20] Even Michael Mann (1993), who created the terminology of infrastructural power for social studies, uses the taxation institution to represent infrastructural power.[21]

Slater and Fenner (2011) propose that taxation's infrastructural state power mechanisms consist of extracting revenues to support other government functions, coercive power to compel payment, public service provision, coercing rivals, cultivating dependence, and registering citizens.[22] I go beyond this abstract framework and to examine how China's taxation institution contributes to infrastructural state power, and identify the causal mechanisms or the "flexible and timely capacity of state penetration and negotiation" (Lee and Zhang 2013: 1477). I argue that three taxation mechanisms that Slate and Fenner did not mention are crucial for authoritarian durability:

First, under a fiscal federalism where regional governments compete with each other to attract investment, *hidden bargaining* between local governments and private entrepreneurs'

[18] Workers and public employees are salary receivers and the major individual income tax payers, but individual income tax is a small tax source which never exceeds 7% of total tax revenue and paid by 28 million or 2 percent of Chinese people in 2014, according to Jia Kang, a leading official fiscal scholar in the Ministry of Finance. See http://finance.ifeng.com/a/20150309/13539320_0.shtml, last accessed July 19, 2016.
[19] For details, please see the next section.
[20] Infrastructural power is a concept developed by Michael Mann (1986). A similar concept to infrastructural power, state capacity, was developed by Skocpol and Migdal who listed four types of state capacity: penetration, regulation, extraction and appropriation (of resources in determined ways). Skocpol 1985 and Migdal 1988: 4.
[21] While many scholars use taxation capacity to measure state capacity in quantitative studies, either using Tax/GDP or Income Tax/GDP share as indicators, most have not made much examination of its mechanisms, Slater and Fenner (2011), and (Levitsky and Way 2010) are exceptions on which the current study builds on.
[22] This requires a bureaucracy sufficiently coherent and capable to to penetrate society.



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substitutes for a representative institution. Under what Rong et al. (1998) call a pressure-based system, China combines fiscal federalism with a tax target system that violates rule-by-law, contributing to the under-institutionalization of taxation system. It effects the hidden bargaining by weakening private entrepreneurs' bargaining power, therefore shaping capitalists' political role—or lack thereof.

Second, the Local People's Congress (LPC) and Local People's Political Consultant Conference (LPPCC) co-opt private entrepreneurs by offering leverage in hidden bargaining and/or incentives to build patron-clientelism. Because neither is a representative institution, this *legislature co-optation*[23] improves the state's infrastructural power without weakening its despotic power.

Third, the under-institutionalized taxation system combined with high nominal rates co-opts capitalists by deterrence. Private entrepreneurs cannot maintain their businesses while paying their nominal rates. Most private entrepreneurs engage in some cheating because the nominal rate is so high, which makes them fear the state. Therefore they have to build *patron-clientelist* ties for protection from prosecution for tax evasion.

Therefore, as an effective tool of legal repression,[24] the Chinese taxation system effectively neutralizes any threat private entrepreneurs as a group poses to state stability. Unlike violent repression, legal repression is not counter-productive; it can elicit both compliance (paying taxes) and cooperation (make investment), which in turn promotes economic growth and revenue growth. My finding that taxation in China leads to both co-optation by patronage and co-optation

[23] This differs from "Bureaucratic absorption", which is defined as the state deployed a range of semi-legal and bureaucratic institutions explicitly tasked with resolving social conflicts (Lee and Zhang, 2013: 1480).
[24] Legal repression refers to "the discretionary use of legal instruments – such as tax, libel, or defamation laws – to punish opponents. Although such repression may involve the technically correct application of the law, its use is selective and partisan rather than universal"(Levisky and Way 2010: 9).



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by deterrence functions, leaving private entrepreneurs in fear of, and sometimes profoundly dependent on, the authoritarian state complicates understandings of capitalists' regime preference.

## Research Design and Data Sources

I use a theory-guided case study in this paper.[25] In this I respond to Morse's proposal in a review article of institutional analysis of authoritarian durability: "studies of electoral authoritarianism need to start engaging in more midrange, case-based research" (Morse 2012: 163), so does authoritarianism. For several reasons, China presents an ideal case to study how taxation matters for authoritarian resilience. First, it exemplifies authoritarian durability: the Chinese Communist Party (CCP) has been in power since 1949 and scholars regard it as an adaptive and flexible authoritarian party-state.[26] Second, China has had decades of rapid economic growth combined with market transition and tax state transition in a very short time period. This makes it ideal for a study of the fiscal sociology of regime durability. Thirdly, as a large country, international factors (Levitsky and Way 2010) have limited influence on China's regime change and could be excluded.

My empirical data comes from three sources: approximately one hundred interviews, government (especially tax bureaus) and LPC documents (both published and unpublished), and media reports. Between 2010 and 2014, I interviewed tax officers () and other government

[25] For why case study is good for revealing causal mechanisms, see George and Bennett 2005.
[26] Dimitrov 2013; Nathan 2003; Shambaugh 2008. However, there are some different voices in recent years, see Li 2012 for a counter argument. But recent development in Chinese politics suggests that Li underestimated CCP's adaptive capacity as Xi Jinping is becoming a strong and powerful leader instead of a weak leader, the factional politics have changed and a comprehensive reform plan is being initiated and implemented.



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officers (), private entrepreneurs (), and trade association leaders () in five counties in three provinces and municipalities (Zhejiang, Shanxi and Hunan) to collected data on taxation system and related issues.[27] Most of the interviews were semi-structured in order to get new information, while 11 of them (4 coal mine bosses) were unstructured given the informants were very sensitive to the interviewer therefore hard to ask some questions. No recording was used given the sensitivity of the topic: tax evasion is such a common practice. While more than half of the interviews lasted about 30-50 minutes, about 10 interviews lasted more than 2 hours,[28] about another 20 lasted about 1-2 hours, and some only lasted to less than 30 minutes. I cross validate the validity of interview material with government archives, and information from different informants.

Two of these counties are relatively underdeveloped agriculture counties in Hunan, and three are among the top 100 counties (*Baiqiangxian*) in Hunan and Zhejiang. They vary significantly with respect to economic development and major industries' asset mobility (from light industry to heavy industry and coal mining). While these are far from a representative sample, they share more similarities than differences in terms of the practice of taxation. Therefore, they provide useful evidence to study China's taxation system. I read government documents such as the tax bureau's magazines and papers broadly and intensively to determine how taxation works at the county and township levels. Comparing media reports to other

[27] Taxation is a sensitive topic, for both government officials and private entrepreneurs, which created barriers to getting information. The fieldwork therefore involved long waits and other complications. Yet in June 2010, I was able to stay in a hotel (Neibu Zhaodaisuo) the tax bureau in Shanxi province maintains for their guests for two weeks. I had three meals a day in their dining room where tax officers eat and conducted many interviews with different tax officers in that period, and read documents they shared with me in between interviews.

[28] Among these ten interviews, two of them were coal mine bosses who rejected to talk to me for anything substantial in the first half hour, with the introduction and accompany of a local tax officer. After chatting for half an hour with smoking, each started to talk, first with hesitation but later on became more open. One of them told me that he did not want to talk to me at first because he had thought I was a journalist who was going to reveal something bad in the media. Five out of these ten are tax officers who are friends with me after the fieldwork, I did the interviews in their offices, in the car, on the dining table.



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information sources allowed me to avoid the bias that overreliance on in-depth media reports would engender.[29] To make comparative study of different enterprises' bargaining power, I use the Private Enterprise Survey data.

In next two sections, I will describe the tax administration on the ground, which I describe as under-institutionalized: fiscal federalism combined with the tax target system, high nominal tax rates, tax officers' high discretional power, and their embeddedness in local political institutions and society.

**Fiscal Federalism under Pressure-based System and Hidden Bargaining**

As a unitary country, China has a politically centralized but economically and fiscally decentralized system (Landry 2008). Researchers have identified the role of fiscal decentralization before 1994 (in the form of the fiscal contracting system) as the institutional foundation for economic growth (Montolina et al. 1995; Oi 1992, 1999).[30] After the implementation of Tax Share Reform (TSR) in 1994 which recentralized fiscal power, fiscal federalism works more effectively than it did at earlier periods because of the establishment of a nation-wide market economy (Yang 2004) and therefore increased asset mobility. TSR also led to a shift of economic development strategy for local government. It diminished the local governments' incentives of owning Township and Village Enterprises by assigning most of the revenue to the central government. Since the mid-1990s, local governments have started to switch their regional economic development strategy to attracting investment through developing industrial parks which increase both GDP and tax revenue (Cao and Shi 2009; Li'an Zhou 2004).

[29] Some media reports actually provide more thorough reports, with broader coverage and deeper investigation, than an academic can conduct, given time, fiscal and access constraints and training. In recent years, as newspaper readers have been more interested in public budget and taxation reform, the number of such in-depth reports has grown.
[30] But see Wedeman (2003) for counter arguments.



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In the ensuing years regional tax competition became more intense because of increased asset mobility and privatization.[31]

Regional tax competition strengthens the capitalists' bargaining power that taxpayers have in relation to local governments. I call the bargains they make "hidden" because they are generally enterprise-specific rather than universal rule-based. In these bargains, local governments attract both foreign and domestic enterprises by offering privileged policies such as the next section will describe.

The Chinese version of fiscal federalism, however, differs from the classic version in a very important way, which I call the "tax target system." Specifically, supervisors who work for the central government place strong pressure on local governments to meet tax targets.[32] While the tax administration is somewhat decentralized (Cui forthcoming), the "pressure-based system" that Rong et al. (1998) describe as crucial to the functioning of the Chinese government also applies to the tax administration system. In practice, taxes are not collected according to the law or tax liability (*yifa zhengshui, yingshou jinshou*), but according to tax targets that supervisors set. All the tax collection agents have specific targets (*shuishou renwu*), which typically increase at specified rates. The higher-level tax bureau and the county government set specific tax targets for both the county State Administration of Taxation (SAT) office and the Local Taxation Bureau (LTB). Meeting their tax target is a top priority for the local leaders, who face political

[31] Chengang Xu (2011) calls China's system a regionally decentralized authoritarian system, arguing that it is the fundamental institution for China's economic growth. Whiting (2004) finds that there is a centralized, performance-based cadre evaluation system drives economic growth in China. Lower level cadres must compete with each other to attract more investment to meet the targets supervisors set, most importantly in growing the economy in their provinces and collecting additional revenue (See Lu and Landry 2014 for empirical test).

[32] Using nation-wide quantitative data, Lü and Landry (2014) confirm the existence of this system by arguing that fiscal extraction is the most important indicator for performance evaluation among prefecture and county level political leaders.



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consequences if they fail (Chen 2017). Though the tax bureaus are vertically managed and the county government does not have the power to appoint or promote the tax bureau directors, it still intervenes by increasing tax targets with the promise of sharing the additional revenue with the tax bureau and township governments, an old practice under the fiscal contract system.[33] The tax bureaus set the targets for their branches and for every tax officer on the basis of the county's targets.

The tax target system, along with the decentralized tax administration, makes the tax administration a non-rule-based system. This works if the tax target (or tax growth rate) stays in step with economic growth, which it did in most regions in China until 2000.[34] However, since most local governments want tax revenue to continue to grow because of increasing public expenditure, they tend to increase the tax burden on enterprises at the worst possible time—when economic fluctuations damage their economic performance. Two government officers mentioned that the tax bureaus of county A at Zhejiang also required the enterprises to pay much more taxes this year (2010) than last year; otherwise, they would be unable to meet the tax target during the economic crises (Chen 2018). One of them told me, "The enterprises must pay the extra taxes because they had benefited from the loose tax collection practices in the past years. Now it's the time for them to pay back and help the tax officers (to meet the tax target). They cannot complain but must comply." Some tax officers told me that tax bureaus have a "tax reservoir." But he admitted, "in my county, we are running out of water in the reservoir this year [after

[33] For a book with extensive detail about local governments' tax pressure and their surprising coping strategies, including tax purchasing, see Tian and Zhao (2008). Author's Interviews: July 13, 2010, Hunan; June 13, 2010, Shanxi; Feb. 21, 2013, Zhejiang.
[34] As Whiting (2001) describes, the local government intentionally set low tax rates to encourage development of private enterprises in Wenzhou municipal in south Zhejiang province.



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several bad years].”[35] Officers in Shanxi told me the same thing about the counties where they work.[36]

For regions without a tax reservoir, another common way to meet the tax target is to collect the taxes for the next year, a practice described as eating May’s grain in April (*Yin chi mao liang*). This is regarded as illegal and SAT headquarters and the Ministry of Finance formally forbids it, but local SATs and LTBs still do it under harsh fiscal pressure. Fabricated taxes (*shuishou kongzhuan*) are common too, in which the tax bureau arranges an interest-free loan to local enterprises, collects it in taxes, then pays it back to the enterprise as “rewards” so that they can repay the loans and gets some personal benefits (Tan and Zhou 2009). When improved regulation makes over-taxing by collecting future tax or fabricating tax more difficult, local governments may pursue other forms of revenue, such as fines and fees (most importantly, land transfer fees), which are more flexible and less regulated, to meet their targets.

**Hidden Bargaining**

After the 1994 TSR, the regional competition for investment and the tax base became more and more intensive. Investors, including SOEs, Foreign Invested Enterprises (FIEs), and private enterprises gained bargaining power by playing local governments against one another. Local governments engage in a variety of practices to support business development--constraining predatory behaviors, improving government service and infrastructure, and offering cheap land, tax breaks, low environmental regulation standards, and cheap local bank loans. Given the low level of institutionalization of Chinese politics, empowered private entrepreneurs

[35] Author’s Interview, May 8, 2016, Zhejiang.
[36] Author’s Interview B, April 23, 2010, Zhejiang; Author’s Interview, June 22, 2010, Shanxi; Author’s Interview June 23, 2010, Shanxi.



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make a hidden bargain with local governments, and some of these arrangements will include illegal concessions.

Under the current highly centralized political system, regional leaders care about investment in the areas they oversee, especially large investment because they serve in a particular office for a short period and therefore have no incentive to think long-term.[37] Therefore owners of large enterprises, especially those who are large taxpayers, have strong bargaining power. In an interview with several bureau heads in a county in Hunan, one of my informants described the mutual dependence between local governments and private entrepreneurs thus:

> the party secretary sets the target of attracting investment and bargains with the large investors. We (different government bureaus, including the bureau of environmental protection, bureau of agriculture, bureau of water resources) are asked to provide full support for the enterprises' projects. Are the projects good? I think the projects are bad for most people. They do not bring tax revenue to the county government in the next six years; actually the county government loses money because the land is too cheap.[38] Besides, the enterprises polluted the farmland close to the industrial park [where they are located]. Remember the farmland you went to today close to that village? Farmers would not eat the rice produced on those lands because they were badly polluted; they just sell the rice! Who benefits from the projects? No one except that guy [the county party's secretary]! Everybody knows why but they dare not to say it publicly.[39]

The investments benefited the county's party secretary by increasing growth and state revenue,[40] which are crucial for his job ratings. It may also contribute to his personal benefits. A race to the bottom occurs under this intensive regional competition for investment.

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[37] According to Keng et al. (2015), the average tenure for party secretaries and government heads at the county level is 3.25 years, and of their predecessors none had worked there for more than five years.
[38] Land may be too cheap because prices do not cover the cost of taking and leveling land.
[39] Author's interview, Hunan province, July 28, 2008. This interview occurred during a dinner in which my local informant introduced me to the bureau heads he mentioned, making the interview like an informal focus group.
[40] Local governments can only give breaks on local taxes. As I discovered in my fieldwork, the county government returned all the tax revenue it could, but it needed to submit other taxes to higher level government. Though county government did not benefit from more tax revenue, the county party secretary could benefit from increased tax revenue submitted to his supervisors.



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While developmental state theorists consider tax breaks to be important tools to promote industry upgrade (Johnson 1982), intensive regional competition distorts them in China. Governments use tax rebate, tax breaks, cash rewards[41] and other incentives to attract investment. Based on the size of an enterprise, the business it conducts, its potential to pay taxes, sand other factors, different enterprises have different amounts of leverage.

Besides, cheap land and lower environmental regulation are two important tools that local government can use to attract investment (Chen 2014). This is of special importance since the central government strengthened the monitoring of illegal tax breaks. Many of my informants mentioned the power of cheap land in broad terms but hesitated to speak concretely, because "each land deal refers to some big names in the county, even at higher level. It's better not to talk too much about it."[42] Media reports provide some in detailed cases, however, such as the one that appeared in *New Industrial Economy* magazine:

> Kangmei Medicine Company (KMC) spent 1.5 Billion RMB Yuan (about 250 Million USD) to purchase 980 Mu (or 65.351 hectare) commercial use land in Bozhou city in 2010. The nominal price is 153,061 RMB Yuan per Mu. The market price in Bozhou in 2010 was between 934,400 and 666,700 Yuan per mu, with a basic price of 786,700. But this is not the whole story. KMC received 23.46 million Yuan from the Bozhou city government as "project supporting funds," so the real price is 112,600 Yuan per Mu. In other words, KMC paid the industry use land price for commercial use land.[43] The city government is regarded as abusing its power in exchange for a large investment. (The city government defined large investment as any infrastructural investment more than 59 million Yuan.)

Local governments establish institutional arrangements to help investors in their daily business operations. Many local governments develop a system in which "major leaders contact major enterprises." This means that each major local political leader, which includes the party

[41] In some regions, the local governments reward investors with cash, which differs from a refund only in that it avoids the monitoring of higher level government because of the hidden accounting methods.
[42] Interview Feb. 25, 2013, with a vice township/bureau level officer at Zhejiang.
[43] Industry use land is much cheaper than commercial use land because of regional tax competition because industrial capital is mobile while apartment/house are not.



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standing committee members and the deputy county heads and may include the LPC directors and/or LPPCC chairmen, contacts several large enterprises frequently, listening to their descriptions of their needs so that they can solve different types of difficulties. The problems major political leaders address include but not limited to helping getting through complicated registration process, qualifying for loans, protection of predation by government branches, coordinating several government branches, even hiring workers. In some extreme cases, like the No. 1 project for investment recruitment in a county in Chongqing, an officer in the Bureau of Investment Recruitment told the author excitingly:

> This enterprise reached an agreement with the county government to make an investment of half billion Yuan, it was the county party secretary who went to Wenzhou to negotiate with the enterprise boss. The county's party standing committee met several times to discuss this issue, figured out all the details. The day that the party secretary signed the contract with the enterprise, all heads of the relevant government bureaus were on site with their assistants. Why they were on site? They were on site because the party secretary wanted the investor to get everything ready in one day! Therefore we set a best example of investment recruiting, more and more investments are coming to our county.[44]

But my informant declined to give more details on the conditions that reached in the contract, like the land price, tax break, and so on. When I asked him how could the county government invest huge amount of money to develop the industrial park and build the infrastructures before substantial local tax revenue could be generated. My informant told me that local government had a hard time in collecting local tax revenue a few years ago because of tax breaks, but now things are getting better because the first round of recruited enterprises were paying local taxes now. He also admitted that the county government's Financing Platform (rongzi pingtai) played a crucial role in getting bank loan to build infrastructures, and "this is something unsustainable (because of accumulating government debt)."[45]

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[44] Interview, Aug. 27, 2009, Chongqing.

[45] Ibid, the informant's frankness was criticized by his junior colleague who was afraid that he was leaking some "secret" to me.



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In some cases, regional political leaders use political resources, such as LPC deputies or LPPCC members, to attract investment by private entrepreneurs, a phenomenon I will discuss in more detail later.

Hidden bargaining is a positive sum game for the two parties involved, but it disadvantages both the public interest and the central government. The state's loss of revenue compromises public services, and relaxed environmental standards compromise resident health. For the central government, local governments' breach of its policies led to tax losing. According to the national audit report, tax break policies implemented in a way that violates federal law caused a 36.31 billion Yuan tax loss in 2008.[46] Tax The central government decided to "regulate and abolish" (qingli guifan) tax breaks in 2014, [47] but rescinded the threat because local governments had reached many agreements conditional on tax breaks.

Hidden bargaining between capitalists and government is not unique to China (Chen 2018). In a study of developing countries, Waterbury finds that business groups and investors, though not innately democratic, are particularly important in a modern political system because of their share of tax revenue. They could either bargain with the government to protect or advance their business activities or exit, which may drive the government to be accountable to the business. But accountability is not necessarily democratic, which is a largely western phenomenon, but more likely to be social corporatism (Waterbury 1997).

While hidden bargaining between capitalists and local governments resembles worker-management negotiations that occur under socialist economies, they differ in important respects. The negotiations between worker-managers may address production norms, wages, and

[46] The National Office of Audit Report (2008).
[47] Ministry of Finance website, see http://yss.mof.gov.cn/zhengwuxinxi/zhengceguizhang/201412/t20141224_1171404.html



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opportunities to participate in the second economy using state factory resources (Sabel and Stark 1982; Burawoy and Lukács 1992). But the bargaining between capitalists and local governments do not involve an exchange of state authority with citizen rights as Lee and Zhang (2013) define them. Instead, they involve an exchange of discretion of state rule and specific privileges.

An important consequence of hidden bargaining is to strengthen the specific patron-clientenlist ties between local politicians and private entrepreneurs. While investors, who are in many cases private entrepreneurs, can take advantage of the local government, they do not necessarily have the upper hand in this interaction. Here I disagree with Ong (2013), finding that capitalists fear the local government, for reasons the next section describes.

**An Under-Institutionalized Taxation System**

Legal scholar, Wei Cui undertook a study of China's tax administration that I engage particularly here. He described it as "non-rule-based," meaning it is highly decentralized and that both payers and tax administrators have incomplete information about the law when they determine taxation rates (Cui 2015). While some of Cui's findings resemble my own, I disagree with his emphasis on transactional costs. He argues that the "decentralized tax administration fundamentally increases the costs of communicating the content of law, and alters the transactions costs for taxpayers to interact with officials in such a way that a large body of taxpayers may be engaged in a form of 'semi-compliant' behavior—heeding the preferences of local tax administrators, but in collective ignorance of the law" (p5). By contrast I take a political sociology approach, suggesting that the power asymmetry between state and capitalists, rather than transactional costs, influences the taxation system and its effects. I also will argue that China's taxation system is more than "non-rule-based" because rules are not the only thing that are under formed. I propose it is "under-institutionalized" overall. For example, decentralized tax



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administration (therefore incoherence and fragmentation) also creates tax competition between regions. My analysis also goes beyond Cui's in that I embed tax administration to the broader political institution, especially the pressure-based system (discussed in last section), explaining that this context leads to the persistence of the under-institutionalized taxation system, including non-rule-based tax collection. I also reveal the importance of the centralization of the taxation system, which Cui neglects. In this section, I will also elaborate the "under-institutionalization" of taxation administration in details.

The SAT and the LTB are both vertically-managed. systems. The State Council leads the SAT, making it institutionally independent from the local government. LTBs are under dual leadership of the higher level LTB and the local government, with the higher level LTB having most of the power.[48] Before the 1994 Tax Share Reform, the Tax Administration Bureaus, under the direct leadership of local government, at the corresponding level, were in charge of collecting most taxes in their jurisdiction. The taxes assigned to the SAT and LTB are different. The SAT is responsible for collecting major and easy-to-collect taxes, including the VAT and sales tax. The LTB is responsible for the smaller and harder-to-collect taxes, such as the business tax and city maintenance tax.

While the formal taxation institution appears to be independent and autonomous from the local government, it is not. Besides, the tax bureaus have limited inner coherence.[49] They have even more discretional power, than other street level bureaucrats around the world (Lipsky 1980), because an under-institutionalized taxation system magnifies and distorts their power.

[48] The province government/party committee manages the province level LTB directors and organization. SAT headquarters has a direct "professional leading relationship" (yewu zhidao) rather than a leadership (lingdao guanxi) relationship with the province-level LTBs.

[49] Skocpol (1985) defines state autonomy by two characteristics: independent from social forces and inner coherence. Besides the reasons related to embedding that I discuss in the paper, grass-roots tax officials have very limited chances of get promoted while having heavy working load. Further, promotion does not depend on merits or performances in many cases.



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**High Nominal Tax Rates and Rampant Tax Evasion**

One way in which the under-institutionalized taxation system magnifies the power of the tax bureaus is high nominal tax rates and the rampant evasion that results. In the course of the tax state transition, the Chinese government has improved rule-by-law of its tax administration: for both tax legislation and tax administration. However, it still suffers many limitations. While legislatures in the democracies control the power to set taxes and budget (Campbell 1993; Steinmo 1993), in China, the central government, i.e. the State Council and its ministries, dominates tax legislature and collection. In 1985, the NPC standing committee delegated the power of tax legislation to the State Council and has not taken it back.[50] The tax legislature process is closed and the taxpayers have very limited opportunity to seek change.[51] The LTB at the provincial level has limited power to set and adjust tax rates to reflect regional needs.

The Chinese government relies heavily on indirect taxes like VAT (17%) and sales tax (varies in different industries). Enterprises render these taxes to the government, though the citizens actually pay for them. Nominal corporation income tax rates are very high, at 25 percent, a drop from 33 percent in 2007. Most private entrepreneurs are in low profit rate industries and cannot turn a profit if they pay these rates. Operating in an intensely competitive market, they cannot transfer their tax burden to their customers as SOEs in monopolized industries do. In an atmosphere of low enforcement, tax evasion is rampant. As a senior tax officer in Hunan province told me, in his 30 years of tax administration, he only audited one enterprise in which

[50] In March, 2015, the NPC passed the revised Legislature Law which will restore the power to legislate taxes to the NPC and its standing committee in the next few years. This is a departure in that 1994 tax reform didn't get the approval of the NPC standing committee. Further, the NPC was approved by CCP's central committee's standing committee. A media report shows that the NPC and its standing committee only approved three types of tax out of eighteen. See http://money.163.com/13/0622/10/91VEAH3N00253B0H.html.

[51] Tax policy making was a highly politicized issue in the 1950s and, at the early stage of the "anti-right" movement, Mao Zedong described it as a symbol of "class struggle within the Party.".



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he could not identify any tax evasion behavior.[52] Among my informants, most entrepreneurs and tax officials alike agreed that paying nominal tax rates would destroy profits. Very few of my interviewees provided negative answers to my question that tax evasion is a common practice for most private enterprises (two cases reported with details), a few of them (less than 8) did not answer this question. One private entrepreneur at Yiwu of Zhejiang, who is also the Chairman of a trade association and a City PPCC member, answered my question of the common practice of tax evasion in a political correct way: "It is illegal to evade taxes, I do not do it, I do not do anything that is illegal." Then I asked him the how could him and other enterprises make profits given the industry's profit rate is so low, he answered, "I do not evade taxes which is illegal, but there are legal ways of tax avoidance, I do it, my friends also do it."[53] Another informant, who is a prosecutor, denied that tax evasion is a common practice for enterprises, but his concern was more about "do not trust a man with some American background" as another informant who was on site told me after the interview.[54] Besides, there are wide coverage and hot debate on the private enterprises' "over tax (and nontax) burdens" in Dec. 2016,[55]

While private enterprises have no opportunity to influence the process of setting the tax rate, the process of assessing and collecting taxes provides good opportunities to influence tax implementation.

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[52] Author's Interview, June 13, 2010, Hunan. Names are omitted to protect participants' confidentiality, as they all required.
[53] Author's Interview, March 11, Zhejiang.
[54] Author's Interview, Feb. 5, Zhejiang.
[55] Two famous tax scholars, Li Weiguang and Hu Yijian, among many others, argue that private enterprises are suffering too heavy tax and nontax burdens, which Li calls as "death tax rate". According to Li's survey, 87% respondents report too high or vey high, 8% report acceptable and 1% report low. Li further argues that most private enterprises suffered overall tax rates about 60-70% while their profit rates are lower than 10%. See "What are the causes of private enterprises' heavy tax burden?" http://www.china.com.cn/cppcc/2016-12/20/content_39946738.htm.



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**From on-site collection to separation of collection, auditing and inspection**

Like tax legislature, tax administration has also been legalized to some degree. From the late 1980s to the early 1990s, there were many cases of tax resistance. As a consequence, the Ministry of Finance, which led the tax administration at that time, had several meetings with Ministry of Public Security, Supreme Court, and Supreme People's Procuratorate, and issued several documents detailing how they might strengthen tax collection and deter tax resistance behaviors (SAT 1993). The Regulation of Tax Administration was enacted in 1986 and developed into Tax Administration Law in 1992 and revised in 1995 and 2001. Another round of substantial revision is under way at the time of this writing, which generates hot debate on many principles and issues. By the turn of the century tax collection administration had been institutionalized to some degree. In particular, it was legalized. Law enforcement agencies also monitor tax compliance, and items 201 to 212 in section six of the criminal code address noncompliance. These laws provide for severe punishment for tax evasion, tax resistance, tax cheating and other illegal behaviors related to taxation.

In spite of these improvements, China's tax administration law has many defects (Liu 2014). First, it has minimal protections for taxpayers' rights while empowers tax bureau substantial power. Second, different government bureaus and sectors do not share and coordinate their information. Third, tax law at times conflicts with other laws. Given tax evasion is rampant and tax administrators have enormous discretional power, it is easy for the tax bureau and the local government to use the law selectively to target any entrepreneur for any reason. Thus it becomes an ideal tool for legal repression.



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The 1994 TSR changed the methods of tax collection. Before 1993, the so-called "One Person in Charge of All System" (*shuishou zhuanguanyuan zhidu*)[56] dominated tax collection. The 1994 TSR changed this system into the Concentrated Administration System (*jizhong zhengguan zhidu*). In 2001, China introduced a new system, the Tax Administrator System (*shuishou guanliyuan zhidu*). By institutionalizing the taxation system, these reforms retained the tax officer's discretional power to some degree.

One institutional reform enacted in 1994 was designed to de-concentrate tax officers' power by separating the powers of inspection from tax collection and assessing. The Centralized Administration System is based on tax declaration and improved taxation service. It uses computers connected by an intranet, centralizes the tax collection, and inspects selectively. The tax administrations were reorganized based on the three functions. The widespread small taxation offices were merged into large ones, each with a Tax Service Hall. The tax officers no longer needed to go out to the enterprises to collect taxes. Taxpayers were required to declare their taxes, have them approved by the tax officer, and then pay their taxes in the Tax Service Hall. In order to enforce compliance and checking the power of the tax assessment, the tax inspection officers inspected taxpayers selectively. A "Tax Inspection Team" was set up, then upgraded to a "Tax Inspection Bureau," which became the most powerful sub-unit in the Tax Administration.

Later on, SAT headquarter recognized that that this centralized administration system was ineffective in monitoring the regional tax base, which kept changed quickly due to rapid

[56] Under the "One Person in Charge of All System," tax officers had individual responsibility for all enterprises in a specific jurisdiction. This tax officer had authority over assessment, collection, and inspection. This approach resembles the ancient practice of tax farming, and like tax farming, gave the tax official too much discretional power. Taxpayers could therefore buy-off tax officers. Taxes rates depended on the payer's relationship with the tax officer instead of sales or much profit. The "personal relationship tax (*guanxi shui*)" and "favor tax (*renqing shui*)" were very common at that time. The tax administrations tried to minimize these defects by frequently switching the tax collectors to different jurisdictions, to increase the cost of bribing tax officers, but it did not end the practice.



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industrialization and urbanization. Reform introduced in the early 2000s, addressed this problem by returning the tax officer to the field with less power than they had before 1993. Tax officers' role was now limited to "management" tasks, such as monitoring the tax base, daily checking, cross-validating the account, and evaluating taxes.

A number of factors complicate evaluation. For example, many enterprises, especially small and medium sized ones, use cash transactions and incomplete accounting systems, if they use them at all. The tax system is also complicated. Large enterprises are easier to monitor as they have modern accounting systems, although enterprises that have tax records keep a false record for the inspector as well as the real record—something my interviews revealed was well-known to inspectors, and that entrepreneurs knew inspectors knew about. Further, the current tax administration does not distinguish calculation or assessing of liabilities from the actual collection of taxes, and calculation of liabilities lacks the necessary rules (Shi 2012, p29). Due to these constraints, the tax bureau has two established methods of assessing tax liability: assessing through estimation (*heding zhengshou*)[57] and assessing through auditing (*chazhang zhengshou*).[58] Both methods provide discretional power to officers. Thus, reforms have achieved limited success and tax evasion remains rampant.

**Taxation Bureau Embedded in Local Political and Social Community**

Besides the defects of the formal taxation institution, the taxation regime, like other institutions, is embedded in the local political institution. I have discussed the tax target system in the last section, here I will focus on taxation bureau's embeddedness in local political

[57] Assessing through estimation applies to the small enterprises that either lack accounting systems or for which it is difficult to calculate the profit and costs and, thus, there are no reliable records to assess tax liability.
[58] Assessing through auditing is a more advanced method, but it can only be applied to enterprises that have good accounting systems. Different types of taxes, i.e., VAT, enterprise income tax, individual income tax, business tax, are collected based on accounting information.



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community, which weakens the autonomy of the tax administration and further deinstitutionalizes it as a rule by law regime. What's more, like any individual, tax officers are embedded in social networks that shape their interests (see Lo and Otis 2003 for guanxi society). Especially in a county where people know each other well, tax officers have many concerns beyond collecting the highest taxes for the state.

Tax officers' relationship to county government also limits the tax bureaus' independence. Officers have incentive to maintain positive relations with powerful local officials, who can provide them many favors.[59] Paraphrasing a statement he made several times in interviews, a tax officer of county C told me, "We collect taxes for the state, that's our job. But what is the state? After all, the state is composed of real people. The state is the people. So, after all, we, including myself, are working for these people." He implicitly admits the formal rules are sacrificed for personal benefits.[60]

Other institutions with which the tax bureaus must work also limit the tax officers' autonomy. Though technically administrated vertically, the tax bureau faces serious horizontal constraints. It must work with other government bureaus, such as police, country governments, etc. to meet its tax target. Besides the Party Committee, its departments and subcommittees (especially the Commission of Discipline) can also check the tax bureau's power. My fieldwork finds that tax officers are afraid of the Party's disciplinary power because most, if not all, of them are corrupted to varying degrees (e.g. allowing tax evasion and taking different types of bribes). This is confirmed by both Commission of Discipline cadres[61] and tax officers I interviewed and as I observed. One of my informants told me an example:

[59] Author's Interviews, A, June, 11, 2010, Shanxi; June 20, Shanxi.
[60] Author's Interview, A, June 11, Shanxi.
[61] A few of them told me "(for government officers) it is definitely not a good thing to have a talk with Commission of Disciplinary even if you are innocent," because it "signals that you are not trusted by the party."



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> Several years ago, I moved to the SAT office of county Z, which is a top 100 developed counties (*bai qiang xian*) in China . I have a friend who is also from county X (where I from) and runs a real estate enterprise. You know their profit rate is very high in recent years, but they pay little taxes. One day, the director of Tax Inspection Bureau asked us to go to my friend's office to check his company's account. I even didn't get a chance to send him a message before we arrived in his office because it was in such a sudden (the director asked us to turn off the cell phones). I managed to talk to my real estate friend for one minute and told him to call his friend in the county government who can help, otherwise he will be in danger. He called the county's Secretary of Commission of Disciplinary asking for emergent help. The Secretary went to the SAT office right away and asked to have lunch with the directors (include the director of inspection bureau). The director must come because everyone fears the Commission of Disciplinary. The inspection ended after the director left and my real estate friend treated us a nice lunch. I guess the director doesn't really want to make trouble for my friend because he knows that every real estate enterprise has some big guys back it, he just wants let the bosses know that they should come to visit their director of Tax Inspection Bureau (and bring something to him) (Interview H0713).

## Infrastructural State Power Mechanisms

The under-institutionalized taxation system, which is not a rule of/by law system, has various implications for the capitalists' interests and strategies of survival, which the sections below will describe. Specifically, these consequences tend to lead to legislature co-optation and patron-clientelism, which in turn, helps CCP to sustain power and domination.

### Reexamining Patron-clientelism under Legal Repression

Patron-clientelism was the foundation of Communist state authority (Walder 1996), but the market economy has weakened it considerably according to some researchers. Lee and Zhang (2013) argues that the targets of patron-clientelism are now limited to "those segments of Chinese society that are still relatively dependent on the party state: civil servants, party members and the elderly (p. 1479)." But the greatest weakening of clientelism is that clients now "have much more autonomy to exit or exploit these state-sponsored patron-clientelist networks to their own advantage, doing so with minimal deference and loyalty" (Lee and Zhang 2013: 1479).



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In a study of local government and business relationships, Ong (2013) even argues that because of market liberalization and privatization, businesses are acquiring more autonomy and economic resources, even gaining power over local government, and that the local governments have degenerated into clientelist states since the middle 1990s.

However, my study of the taxation system reveals at least two ways in which patron-clientelism has not declined as other scholars claim. First, resource-rich private entrepreneurs are part of patron-clientele relationships under an under-institutionalized system.[62] Second, contrary to Lee and Zhang, capitalists have little autonomy to exit state-sponsored patron-clientlelist networks even they have abundant economic resources and pay huge amount of tax, because the nature of domination has not been changed as reflected by the taxation system. Instead, they collude with local government officials to get protection from predatory taxation or even to exploit specific advantages. However, private entrepreneurs are afraid of the party-state because of the under-institutionalized taxation system, which leads to rampant tax evasion, makes them criminals. Therefore it has both co-optation by deterrence and co-optation by patronage functions. In turn, all of these factors lead to vulnerable private entrepreneurs who prefer to build patron-client relations to gain personal benefits instead of demanding institutional change.

The under-institutionalized taxation system leads to rampant tax evasion by enterprises under all types of ownership. The National Office of Audit Report 2008 reports that in the preceding year 54% of taxes of 214 enterprises in 11 provinces was delayed, while another 62 county SAT offices in 13 provinces pre-taxed and overtaxed 23.4 billion Yuan from 169 enterprises to meet the tax target. In addition to this rampant evasion by tax officers, they commit extensive rent-seeking. Tax officers who can help someone to reduce tax burden, and other

[62] In addition, the local government still controls a lot of resources, including land and public funds for Research &Development subsidies.



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government officers who have the power to patron someone from the tax officers, have many opportunities to get rent from the enterprises. Reform has been limited in its ability to constrain rent seeking.

The fact that China's criminal law sets very severe punishment for tax evasion permits the tax system to dominate private entrepreneur (Articles 201 and 211). Fines for tax evasion are up to five times the amount of evaded taxes, and can carry prison time. Conviction for tax evasion of more than 30% of the total liable taxes carries three to seven years of imprisonment.[63] Cases like that of Ai Weiwei, an internationally recognized a famous activist as well as an outspoken artist, blogger, filmmaker, architect, and art entrepreneur testify to the state's willingness to use these laws for political ends. He was levied a $2.4m (£1.5m) tax fine after he was released from detention for more than two months, which has stood up to appeal but lost. The public has widely interpreted the penalty as official retaliation for his activism.[64] The case reflects CCP's preference for legitimated repression, over brutal repression, especially for those who have good connections or attention abroad.

Such cases significantly decrease private entrepreneurs' bargaining power with the government. Given the high risk of challenging the government, private entrepreneurs would rather be free riders and act opportunistically, instead of "political entrepreneurs" that try to change the rules. They have greater incentives to build specific personal connections for tax evasion and even gain some business opportunities, instead of challenging the government and/or demanding unlikely institutional reform.

[63] The original item specified the amount to be RMB 0.1 million Yuan; in 2008 it was revised and no specific amount was listed.
[64] http://www.theguardian.com/world/2012/sep/27/ai-weiwei-loses-appeal-tax-fine; http://edition.cnn.com/2012/09/27/world/asia/china-ai-weiwei-tax-evasion-appeal/



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Serving in the LPC, LPPCC, and the local party committees are good ways to build patron-clientelist ties (Zhang 2017; Zhu et al. 2013). Such offices give entrepreneurs an upper hand over a low level tax officer by facilitating relationships with the officer's supervisors, but no leverage to challenge the authority of the CCP at either the local or the central level. Other, less legal, means of building patron clientelist ties, also do not empower capitalists to do more than protect their own interests. My informants' references to bribery were vague, but unmistakable. For example, an entrepreneur in Shanxi told me that "people with power want money, people with money want power, which is the human nature."[65] The consequence is a form of what Dickson (2008) calls "crony communism"—"a system of interaction between economic and political elites that is based on patrimonial ties and in which success in business is due more to personal contacts in the official bureaucracy than to entrepreneurial skill or merit." This benefits both the party-state and private entrepreneurs, but neither the citizens in general nor the party-state. A senior tax officer in County A of Zhejiang described tax officers as dependent on private entrepreneurs for contributions to their promotion "campaigns," which they use to bribe their supervisors. He said that in 2010, it cost two or three million RMB Yuan (0.33 to half million USD) to get a promotion to vice head of a county SAT office or LTB.[66] After Xi Jinping initiated an anti-corruption campaign in 2013, many reports on government-business collusion reveal the exchange of power and wealth in China, even including the former CCP Standing Committee member Zhou Yongkang.

However, tax protests do occur occasionally, as revealed by tax riots in county A and in other places like the town of Zhili[67]. March 2011, in county A in Zhejiang province, hundreds of

[65] Author's interview, Shanxi, April. 28, 2010.
[66] Author's interview, Zhejiang Feb. 21, 2015.
[67] The Zhili anti-tax riot evolved into a violent conflict and got extensive media attention, it ended with stopping implement the tax policy. The Zhili anti-tax riot was widely covered by Chinese and English media. For English



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people gathered in front of the county government buildings and demanded that the government halt the implementation of a new taxation policy, designed to collect taxes and fees from the factories and family workshops producing handcrafts. Although a similar demonstration had happened four years earlier and successfully stopped a similar taxation policy from being implemented, this time demonstrators achieved very limited success. Compared to four years ago, the party and government leaders were better prepared and more determined to stop demonstrations this time, with intensive pressure from their supervisors. If we examine these tax riots closer, we find that the majority of demonstrators were non-residents rather than local people. Local businessmen were warned by the government not to take any serious actions against the new taxes weeks before they implemented, otherwise they would face criminal prosecution for a host of crimes including, but not limited to: evading taxes, illegal land use, and violating pollution laws. The local businessmen were forced to obey the government because the cost of compliance, or exit, was lower than noncompliance. However, the non-residents were not afraid of these kinds of punishment since they could exit without getting serious punishments.[68] Compared to enterprises ran by local residents, the migrants' workshops are smaller and cannot afford higher taxes and fees, which are intentionally set by the local government in order to dispel these small workshops.[69]

Tax riots may take place when new and heavy taxes and other levies are suddenly thrust upon those small enterprises or workshops, which are: small scale, lack political connections, and, most importantly, are owned by migrants from the same region. But, this radical behavior is

media reports, see "Chinese Town Cancels Tax That Sparked Riots", the Wall Street Journal, http://online.wsj.com/article/SB10001424052970204505304577003503223216724.html, accessed by Dec. 3, 2011.

[68] Author's Interview Aug. 27, 2011, Zhejiang.

[69] Because these workshops do not contribute to local tax revenue, often impede industrial upgrading (have no R&D but illegally copy others' intellectual property rights illegally), compete with low price (because of no tax burden and R&D costs), degrade the environment and crowd out urban infrastructures.



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exceptional and by facets normal. When new taxes are enacted, most local private entrepreneurs do not participate in tax resistance, but attempt to mobilize their connections in order to reduce their current tax burden or help them move to region with lower taxes.

To summarize, the under-institutionalized taxation institution weakens private entrepreneurs' bargaining power, generates fear and pushes them to build patron-clientelist ties rather demand for democracy. Though all private enterprises have limited political bargaining power, different enterprises have different bargaining power, their bargaining power vary according to different factors: size, asset mobility, technology sophistication, trade association, etc. (Haggard et al. 1997). I briefly discuss how size matters for bargaining power (more in next section), but it goes beyond this paper's scope to discuss the variations in details.

**Legislature Co-optation**

Since avoiding violent repression is not sufficient to elicit cooperation, it behooves the CCP to co-opt resource rich capitalists (Gandhi 2008). The LPC, LPPCC, and the local party committees have provided this co-optation. In the last decade, private entrepreneur deputies have become the second largest group in the LPC and the LPPCCC after the Party and government cadres in many regions, especially the developed coastal regions.[70] About 30% of LPC deputies at the county level are private entrepreneurs in the four counties and one district of Taiyuan city where I did my fieldwork, a number that matches estimates in other places.[71] Though the

[70] Official statistics categorize private entrepreneurs in LPCs with other "social groups," like workers, peasants, intellectuals, and cadres, so this assertion reflects my interviews and information in other studies and media reports. Likewise, while official statistics designate an "economic" category, Jingji jie, it does not count all of the private entrepreneurs in LPPCCCs, as many are counted other groups (like technology or cadre).

[71] Author interviews Zhejiang 2010-04-14, Zhejiang 2010-07-03, Shanxi 2010-05-26, Shanxi 2010-06-15. See also Shukai Zhao's conference talk at http://www.lookinto.cn/article-2171-1.html (last accessed 05/27/2011). The in-depth media report "The Private Entrepreneurs Buy off Votes in the Prefecture PC Election" in *Liaowang Zhoukan* (2008), a Xinhua News Agent weekly journal, also finds that around 30% of the deputies of county and prefecture LPCs in Hengyang prefecture are private entrepreneurs. Young Nam Cho finds that during 1993–1997, the cadre



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percentage may be lower in less wealthy provinces, this doubtless reflects the smaller number of successful capitalists in those places.

Many private entrepreneurs work hard and spend millions Yuan on votes and getting local political leaders' support to get elected to the LPC through the party-controlled electoral process, even though the political title is quite nominal; the LPC has a very limited policy making power. In independent interviews of two senior LPC officers in County A, informants described four reasons they sought an LPC set. They are 1) political privilege, for example, protection from the harassment of the government officials, especially police and tax officers, or exemption from some traffic examinations,[72] 2) economic privileges like illegal tax breaks and lower fees and fines, 3) connections with government officials, which is good for creating new business opportunities, and 4) fame.[73] Private entrepreneurs who had not joined the LPC recognized these four incentives as well. Other empirical studies have made similar findings[74]; media reports, including a national-level Party journal *Oriental Outlook* (*Liaowang Dongfang Zhoukan*) of the Xinhua News Agency, which reported that private entrepreneurs (and some government officials) spent money to buy votes to get elected as the Prefecture PC deputies in Hunan province .[75] Gandhi and Lust-Okar's summary of candidates in authoritarian elections also accords with these findings(Gandhi and Lust-Okar 2009: 409-10).

My informant from County A's LPPCC deputy told me:

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deputies were the largest group in the NPC (28.3%), but the "worker and peasant" group was the largest at the lower level PCs in Tianjin Municipal (29.1%) and Nankai District in Tianjin (46%, cadre deputies were 17.4%). See Cho (2008).

[72] The police can't detain or arrest an LPC or LPPCC deputy without the permission of the standing committee of the LPC and LPPCC.

[73] Interview Zhejiang 2009-08-11; Interview Zhejiang 2010-03-15.

[74] e.g. Ao (2005), Wang (2007) also describes promoting institution reform, i.e., changing policy and administrative rules, as a possible incentive. However, he argues that the private entrepreneurs don't have the vision, interest, or ability to promote political change, and that they (rightly) consider it risky.

[75] See http://news.sina.com.cn/c/2014-08-19/050030706588.shtml.



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> A political title is very valuable. LPC deputy is more valuable than LPPCC member, but even the latter is pretty useful. Let me give you an example. Several years ago, a private entrepreneur who was a county [L]PPCC member, got into some trouble because the tax officers were inspecting his company and found some serious tax evasion. He asked the president of [L]PPCC for help and the president called the tax bureau head and claimed that they tax too much and drive enterprise to other counties. The tax officers stopped the inspection because they knew the [L]PPCC president was very powerful.[76]

While capitalist personal connections have social and political causes, the level and intensiveness of personal connections are in general correlated to their enterprises' size. Owners of large enterprises, especially those who are major taxpayers, can build connections with local political leaders or even higher level government officials. The owners of smaller enterprises try to build connections with tax officers or simply evade taxes, if they fail to do so, they will be predated by the government by charging high taxes and fees. We also have quantitative evidences to support this hypothesis. If we use the entrepreneur's political title and level (in PPCC and PC corresponding to different levels of government) to measure his level of political connection, we get Table 1: paying more taxes lead to higher level political status, therefore higher bargaining power.

Table 1 about here

A private entrepreneur LPC deputy described the co-optation of LPC deputies thus: "How dare you be serious [about policy] in the LPC? You have some weakness and they know it. The most effective way to keep you quiet is to send the tax officers to your company and check your accounts."[77] The private entrepreneurs fear the party-state. Another informant who works in LPPCC told me:

> In the 2011 municipal LPC election in county A of Zhejiang province, Mr. Wang, a famous private entrepreneur and a senior county [L]PPCC member, spent more than 3 million Yuan [close to a half-million USD] to buy the votes of county [L]PC deputies and get himself elected

[76] Interview Zhejiang 2010-03-16.
[77] Author's Interview April. 27, 2010, Zhejiang.



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> as a municipal [L]PC deputy. This violated the county [L]PC standing committee's plan…. Following the election, the county [L]PC standing committee director asked Mr. Wang to resign, but he refused. The next time the county [L]PC standing committee director came to talk to Mr. Wang, he was accompanied by the county SAT office head. They informed Mr. Wang that he had two options: resign or furnish his enterprise's accounts for a tax audit. Mr. Wang resigned without hesitation.[78]

Instead of being a representative institution, the LPC is what Zhu et al. (2013) termed an "organizational clientelism platform" that gives private entrepreneur deputies many privileges including tax breaks and protection. Thus, the political role of this democratic-looking institution rests on the tax institution's power.

## Conclusion and Discussion

Decades of economic growth and a dual transitions have changed the power balance between the state and society in China. As Nee (1996) wrote two decades ago, "power—control over resources—shifts progressively from political disposition to market institution" (p 910). It also has brought many changes to patterns of domination, making violence unappealing and ideological indoctrination ineffective (Lee and Zhang 2013). But I have argued that co-optation and patron-client relationships have filled the void in the context of a partial tax state transition. The state still directly controls many material resources, including revenue resources, land, and access to loans and still monopolizes legal, coercive, and ritual resources. Besides, it enjoys high level of despotic power, which it can use without routine negotiation with social actors. While many local governments bargain with capitalists to attract their investments, this bargain is hidden, rather than being based on legal rules, thus I label it as a specific form of patron-clientelism. The capitalists' bargaining power is still economical and specific, rather than political and universal.

[78] Author's Interview, March 11, 2010, Zhejiang.



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Do the dual transitions weaken the patron-clientelism ties between the state and social actors? My argument differs from Ong (2012) that business gets the upper hand over the local state, and Lee and Zhang's (2013) "bargained authoritarianism" on the decreasing importance of patron-clientelism in grassroots state, both because of marketization. It also differs from Greene's (2009) "political economy of authoritarian Single-Party dominance" which argues that the dominant party's loose of control of access to many once public enterprises will weaken its capacity for patronage and lead to (competitive) authoritarian regime collapse. This paper finds that even as it reduces the state's control over public enterprises and access to other economic resources, marketization may still strengthen patron-clientelism when rule of law does not govern the market institutions, because of the private entrepreneurs' vulnerability to government legal repression.[79] A unique fiscal federalism and an under-institutionalized taxation system, characterized by high nominal tax rates, high discretional power of the tax officer, and a tax target system, drive private entrepreneurs to evade taxes, and therefore to build patron-clientelism ties (by legal or illegal means) rather than challenge the authoritarian state. This paper finds the businesses are still vulnerable before the local government, not only because the market liberalization is a limited one,[80] but also because they need to work through institutions in order to do business and make profit. Therefore, the under-institutionalized taxation system makes the entrepreneurs criminals and significantly reduces their bargaining power.[81] At the

[79] For theoretical discussion of power in institutional analysis, see Knight (1990) and Moe (2004).
[80] While identifying many important aspects of the local state-business relations, Ong neglects other important facts. For example, many local governments monopolize the supply of land (an important input), and have good access to the bank system through the Financing Platform (*Rongzi Pingtai*). Therefore, the local governments still have enough resources to retain their autonomy or the leading power of regional economic development (*jingji fazhan zhudaoquan*), as Cao and Shi (2008) find.
[81] Many other institutions work by transforming economic resources or wealth into power. This paper discusses the LPC and trade associations and their limits. See Dickson (2006) for a systematic discussion. Of course there are exceptions; the threat of exposing a local political elite who took a bribe may reverse the power dynamics somewhat.



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same time, the LPC has no significant power and therefore cannot empower the private entrepreneurs who serve in it. This partial and unfinished market transition which includes but is not limited to the tax state transition, has strengthened patron-clientelism. Therefore, it contributes to authoritarian durability.

The market transition has also changed the implementation of power. Use or threaten use of coercion becomes undesirable because of its destructive effect on economic growth, but it does not necessarily mean that CCP's infrastructural power is weakened. Tax collection has been legalized to some degree, even with substantial limitations. Therefore, CCP has legal and legitimate ways of selectively punishing those who try to challenge its authority, rather than use coercion. Moustafa (2008) argues that authoritarian states use courts to establish social control and sideline political opponents and to bolster their claim to "legal" legitimacy.[82] I find that China's tax administration regime, except rural taxation before 2006 (Bernstein & Lü 2003; Takeuchi 2014), performs both of these functions.[83]

Therefore, this paper examines a very important concept in social sciences, state capacity. Through in-depth case study of causal mechanisms, first, I suggest that state capacity cannot be simply measured by Tax/GDP ratio or Income Tax/GDP ratio because these indicators could not catch the internal validity in many cases. For example, Chinese government collects about 20 percent of GDP as tax revenue while its fiscal revenue is close to 38 percent. Individual income tax only composes 6.9 percent of total tax revenue. Both commonly used indicators neglect some important dimensions of state capacity, not to mention the three mechanisms I discuss. Second, I

[82] Moustafa identifies three additional functions of the courts. They are (1) strengthening administrative compliance within the state's own bureaucratic machinery and solving coordination problems among competing factions within the regime; (2) facilitating trade and investment; and (3) implementing controversial policies so as to allow core elements of the regime to distance themselves politically.
[83] See Thornton (2004) for a comparison and extra evidences.



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suggest that while a coherent bureaucracy based on rule-by-law could be effective and efficient in tax collection (Kiser and Kane 2001), it may not have the legal repression function that co-opt the capitalists by deterrence.

This paper contributes to institutional explanations of authoritarian durability. Theories that emphasize coercive institutions (e.g. Albertus and Menaldo 2012; Bellin 2001; Levisky and Way 2010) tend to emphasize its deterrence effect and neglect its inability to elicit cooperation (therefore its counterproductive effects), moral hazard (Svolik 2012), and its reliance on abundant fiscal revenue. Theories that emphasize cooptation institutions (Gandhi 2008) emphasize policy concession (cooptation via offering privilege) but tend to neglect power and deterrence (fear), and democratic-looking legislature could be "epiphenomena" rather than causal given that their limited power and easy to be manipulated (Art 2012; Pepinsky 2014).[84] Compared to the democratic looking institutions and coercive institutions, taxation institution is an effective legal repression instrument that has both co-optation by deterrence and by privilege, could achieve both compliance and cooperation[85] at the same time. On the one hand, the under-institutionalized taxation system plays the function of co-optation through patronage (offering privileges). The hidden bargaining, legislature co-optation, and patron-clientelism allow private entrepreneurs to benefit from a market economy and avoid the worst consequences of a predatory taxation system. Therefore, they lower effective tax rates and elicit cooperation, thereby contribute to economic growth and state revenue growth. On the other hand, it also shapes capitalists' interests and strategy of survival, elicit compliance via generating dependence and fear rather than love, driving them to "get elected" into LPC and LPPCC. But this does not

[84] Knutsen and Nygård (2015) raise some related critiques and falsify the democratic-looking institutions' explanation of regime durability, by identify an association between democratic looking institutions and short lived authoritarian regimes.
[85] Gandhi (2008) regards these two functions as crucial for authoritarian rule.



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reject the importance of co-optative and coercive institutions, they are complementary to each other to sustain authoritarian rule.

However, all three mechanisms are under-institutionalized and have many defects. While this situation benefits the government and some businesses, it disadvantages those excluded from the alliance, like the peasants and workers, the un-patronized private enterprises, and even the central government. Its negative effects are also serious and may harm the authoritarian regime in the long term.[86] This raises a further question, CCP is taking efforts to further legalization of taxation system[87], will it leads to more rule-based system? What further steps will be taken by CCP and what are the political implications?

To answer this question, I engage with the debate of duration and transition from limited access order to open access society, and the theory of the double balance[88] developed by North et al (2006, 2009). Both hidden bargaining and patron-clientelism reflect the limited access order (natural state) defined by North et al (2009): personal relationships, who one is and who one knows, form the basis for social organization and constitute the arena for individual interaction, particularly personal relationships among powerful individuals (p.2).

Open access social order is characterized by impersonal and universal rules, is associated with rule of law and democracy. Open access social order is hard to achieve in developing countries. The theory of the double balance suggests that economic and political systems both tend to be open access or to be limited access. It "implies that sustaining fundamental changes in either the economic or political system cannot occur without fundamental changes in the other.

[86] This reflects Grzymala-Busse's (2011, p 1269) discussion on mechanisms and processes of duration.
[87] The important CCP document, CCP Central Committee (Nov. 2013), "Decision of the Central Committee of the Communist Party of China on Some Major Issues Concerning Comprehensively Deepening the Reform", suggests many reforms in the coming years.
[88] The double balance integrates "a theory of economic behavior with a theory of political behavior by demonstrating how political systems manipulate the economy in order to sustain political stability, limit violence, and provide social order. (North et al 2006, p. 4)"



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(North et al 2006, p.6)" North et al (2006) argue that there are three most important transition mechanisms: fiscal mechanism, representation institutions, and (economic and political) international competition. This paper engages with the fiscal mechanism and representation institution, therefore contributes to the double balance theory.

For the fiscal mechanism, North et al (2006) argues that "if changes of access generate a significant fiscal return to the state, and the fiscal benefits of more open access can be shared throughout the dominant coalition, it is possible for a small change to survive (64)."[89] This is true for CCP's initiation market transition; however, CCP also realized that a partial transition (as state capitalism) serves its interest better than a full market transition for generating easy fiscal revenue,[90] and generating dependence and fear, therefore compliance, as discussed in this paper. But now CCP faces more and more negative consequences of the current tax state, will this provide a new opportunity for further fiscal and political reform, which may lead to an open access order?

Though the question as to what will happen in the future is still incredibly hard to predict but several implications can be drawn. Lou Jiwei, the former Minister of Finance (MoF, March 2013-Nov. 2016) argued (before he became the minister) that to further reform the taxation and fiscal system, China should empower LPC with effective budgetary power, develop a civil society and democracy, to monitor local government's taxation and expenditure behaviors (Lou 2013: pp. 136-138). Lou also proposed that further reforms, including political reform, are

[89] Fiscal mechanism is also recognized by Lou Jiwei who argues that "fiscal system reform is in a crucial position which connects economic reform, political reform and transition toward a civilized society. (Lou 2013: pp. 320-321).

[90] Jun Ma (2011) provides a good study of how relying on SOEs and "hidden taxes" has limited political change in China. For a theoretical debate on how dominant party's access to public finance, especially from SOEs, strengthens dominant party's power, see Greene (2010).



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urgently needed to push fiscal reform ahead, though he does not discuss it in more details given the issue's political sensitivity.[91]

Under Lou's leadership, MoF tried to abolish local governments' different (and conflicting) tax breaks policies for attracting investment in Dec. 2014 (State Council's Notification on Abolishing and Standardizing Preferential Policies of Taxation and Beyond, Guowuyuan guanyu qingli guifan shuishou deng youhui zhengce de tongzhi).[92] This is an important effort to regulate government power regarding hidden bargaining and patron-clientelism. However, the policy was resisted by local governments who were afraid of losing investments, and its implementation was loosened if not abolished the next March by Premier Li Keqiang, under a background of economic slowdown.[93] This case suggests that CCP leaders are not determined to push reform ahead to build a rule-of-law system when it may conflicts with other important goals, including economic growth and party's durability.

For the representation institution, the second mechanism suggested by North et al (2006), as this paper and other studies of China's "representative institution" (Zhu et al 2013; Zhang 2017), the powerless People's Congresses at different levels strengthen patron-clientelism rather than generating accountability.

To summarize, two most important mechanisms that may lead to open access order fail to work so far, further political reforms are needed to transit to open access society. Besides North et al., there are some other scholars discuss similar questions from some different perspective.

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[91] For example, even the word "civil society" was one of seven forbidden words, according to an important CCP meeting in Aug. 2013.

[92] MoF took other efforts to regularize taxation system, it issued another two important documents to reassign central-local government fiscal relationships and to regulate local government debt by committing no central government bailout. However, whether these policies will be credibly implemented is also questionable as this policy suggests.

[93] It is reported that Wei Hong, the Sichuan province governor, complained to Li Keqiang that 1,000 trillion RMB value of investment projects were suspended because of the MoF policy. See "Li Keqiang: Local Governments Have Discretional Power over Tax Break", see http://www.shui5.cn/article/58/77081.html.



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For example, Acemoglu and Robinson (2012) discuss extractive institution and inclusive institution, two similar concepts as limited and open access orders, but they argue that extractive institution is persistent and its transition toward inclusive institution depends on critical juncture and even contingency, therefore hard to predict. This may also apply to the China case.

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